

# THAKUR COLLEGE OF SCIENCE AND COMMERCE

(Empowered Autonomous)

## SEMESTER END EXAMINATION

**Programme:** S.Y.B.M.S.

**Course Title:** Equity and Debt Markets

**Paper Code:** CX3081

**Max Marks:** 75

**Max Time:** 2 ½ Hours

**QUESTION PAPER — 2024**

**Note:** 1. All Questions are compulsory, subject to internal choice.

2. Figures to the right indicate full marks.

**Q1 A** Define Debt Market. Discuss in detail Types of Debt Instruments, Contribution and Need of Debt Market. **10 Marks**

**Q1 B** Elaborate in detail the Difference between Ownership and Management of Company, also highlight the Reasons and Remedies for Conflict. **9 Marks**

**OR**

**Q1 P** Define Equity Shares. Discuss in detail Features, Merits and Demerits of Equity Shares. **10 Marks**

**Q1 Q** Distinguish between Equity Market and Debt Market. **9 Marks**

**Q2 A** Define IPO. Discuss in detail Process, Merits and Demerits of IPO. **10 Marks**

**Q2 B** A company has its Share Capital divided into Shares of Rs. 10 each. On 1st January 2011 it granted 50000 ESOP at Rs. 70, when Market Price was Rs. 160. The option was exercised between 15th March 2011 to 15th April 2011. The employee exercised their option for 47000 shares only, the remaining options lapsed. The company closes its book on 31st December 2011. Pass Journal Entries. **9 Marks**

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**OR**

**Q2 P** Distinguish between Primary Market and Secondary Market. **10 Marks**

**Q2 Q** Define Merchant Banker. Discuss in detail Features, Types, Role and Responsibilities of Merchant banker in Price Fixation. **9 Marks**

**Q3 A** Elaborate in detail Open Market Operations and Primary Dealers. **10 Marks**

**Q3 B** Define Bonds. Elaborate in detail Features and Types of Bonds. **9 Marks**

**OR**

**Q3 P** Elaborate in detail Securities Trading Corporation of India and Corporate Bonds. **10 Marks**

**Q3 Q** Define Government Securities. Describe in detail Types, Merits, Demerits and Factors affecting Government Securities Decisions. **9 Marks**

**Q4 A** M/s. ABC Ltd. had paid a Dividend at 25% last Year. **10 Marks**

The Paid-Up Equity Capital of Company is Rs. 700,000 and 12% Preference Share Capital of Rs. 500,000.

Net Operating Profit before Interest and Tax is Rs. 900,000 and Tax Rate is 25% pa.  
The Company is expected to Grow at 5% pa and Required Rate of Return is 10%.  
Calculate the Value of Equity as per,

- a. Dividend Approach
- b. Dividend Growth Approach
- c. Earning Approach.

**Q4 B** What is Bond Valuation? Discuss in detail Methods and Factors affecting Bond Valuation.

**8 Marks**

**OR**

**Q4 P** I. Calculate YTM from the following information. Face Value Rs. 100.

**10 Marks**

| Bond | Coupon Rate | Maturity Period | Market Price |
|------|-------------|-----------------|--------------|
| A    | 12%         | 10 Years        | 88           |
| B    | 14%         | 8 Years         | 90           |

II. Calculate Bond Duration from following information.

- a. Face Value Rs.1000
- b. Market Value Rs. 950
- c. Coupon Rate 12%
- d. Maturity Period 7 Year
- e. Yield To Maturity 10%
- f. Redemption Value at Par.

**Q4 Q** What is Equity Valuation? Discuss in detail Methods and Factors affecting Equity Valuation.

**8 Marks**

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